

**2018**

**MBA**

**4th Semester Examination**

**STRATEGIC FINANCIAL MANAGEMENT**

**(Specialisation : Financial Management)**

**PAPER—F-402**

**Subject Code—09**

**Full Marks : 100**

**Time : 3 Hours**

*The figures in the margin indicate full marks.*

*Candidates are required to give their answers in their own words as far as practicable.*

*Illustrate the answers wherever necessary.*

**1. Answer any *eight* questions :**

**8×5**

**(a) Discuss the reasons of corporate valuation.**

**(b) Write a short note on Agency Conflicts.**

*(Turn Over)*

- (c) State the important tax provisions relating to amalgamations.
- (d) Describe the two-stage growth model of share valuation with an example.
- (e) The profit of X Ltd. for the year ended 31st March, 2017 were ₹ 60,00,000. After setting apart amounts for interest on borrowings, taxation and other provisions, the net surplus available to shareholders is estimated at ₹ 15,00,000. The company's capital base consisted of :
- (i) 1,00,000 equity shares of ₹ 100 each, ₹ 50 per share paid up ; and
  - (ii) 25,000, 12% Cumulative Redeemable Pref. Shares of ₹ 100 each, fully paid up.

Enquiries in the stock market reveal that shares of the companies engaged in similar business and declaring a dividend of 15% on equity shares are quoted at a premium of 10%.

What do you expect the market value of the company's shares to be, basing your working on the yield method ?

- (f) P Ltd. is having an issued and subscribed capital of 5,00,000 equity shares of ₹ 10 each fully paid up. The company's after tax profits for the year 2017 amounting to ₹ 28 lakhs. The average present stock exchange price

of the company's share is ₹ 19. The P/E ratio of the four listed companies to be used for calculation, their type of business seems to be similar to P Ltd. are :

| Company | 2015 | 2016 | 2017 |
|---------|------|------|------|
| A Ltd.  | 5.7  | 6.3  | 7.1  |
| B Ltd.  | 6.5  | 5.9  | 6.8  |
| C Ltd.  | 7.4  | 6.8  | 7.0  |
| D Ltd.  | 5.0  | 5.9  | 6.1  |

Calculate the valuation of business and value per share based on average P/E ratio of the industry.

- (g) Describe the meaning of 'organizational restructuring' and 'financial restructuring'.
- (h) Write a short note on Management Buy-out.
- (i) Explain the term 'spin-off'. How does it differ from an equity carve-out ? 3+2
- (j) Describe the risk-adjusted discount rate method for evaluation of projects.
- (k) Discuss the term 'Leveraged Buy-out'.
- (l) Mention any five reasons behind merger strategy adopted by corporates.

2. Answer any *four* of the following questions : 10×4

- (a) XYZ Ltd. is intending to acquire ABC Ltd. by merger and the following information is available in respect of both the companies :

| Particulars                | XYZ Ltd.  | ABC Ltd. |
|----------------------------|-----------|----------|
| No. of equity shares       | 5,00,000  | 3,00,000 |
| Profit after tax (₹)       | 25,00,000 | 9,00,000 |
| Market price per share (₹) | 21        | 14       |

- (i) Calculate the present EPS of both companies.
  - (ii) If the proposed merger take place, what would be the new EPS for XYZ Ltd. ? Assume that the merger takes place by exchange of equity shares and the exchange ratio is based on the current market price.
  - (iii) Will you recommend the merger of both the companies ? Justify your answer.
- (b) What reasons are generally given for issuing convertible securities. Explain the difference between a convertible security and a warrant. 5+5

## (c) Balance Sheet of Diamond Ltd. as on 31st March, 2017

(₹ in lakhs)

| <i>Liabilities</i>   | ₹          | <i>Assets</i>          | ₹          |
|----------------------|------------|------------------------|------------|
| Equity Share Capital |            | Land & Building        | 110        |
| of ₹ 100 each        | 200        | Plant & Machinery      | 130        |
| General Reserve      | 40         | Patent and Trade marks | 20         |
| Profit & Loss A/C    | 32         | Stock                  | 48         |
| Sundry Creditors     | 128        | Sundry Debtors         | 88         |
| Prov. for Income-tax | 60         | Bank Balance           | 52         |
|                      |            | Preliminary expenses   | 12         |
|                      | <u>460</u> |                        | <u>460</u> |

The expert values valued the land and building at ₹ 240 lakhs, goodwill at ₹ 160 lakhs and plant and machinery at ₹ 120 lakhs. Out of the total debtors, it is found that debtors for ₹ 8 lakhs are bad. The profit of the company have been as follows :

|            |            |            |
|------------|------------|------------|
| 2014-15    | 2015-16    | 2016-17    |
| ₹ 92 lakhs | ₹ 88 lakhs | ₹ 96 lakhs |

The company follows the practice of transferring 25% of profits to general reserve. Similar type of companies earn at 10% of the value of their shares.

Plant and machinery and land and building have been depreciated at 15% and 10% respectively.

Ascertain the value of shares of the company under :

- (i) Intrinsic value method,
  - (ii) Yield value method, and
  - (iii) Fair value method.
- (d) What is corporate restructuring ? Mention the different reasons behind adopting such a strategy by corporate houses. 4+6
- (e) (i) Explain the meaning of 'American Depositary Receipt' (ADR). How does it differ from Global Depositary Receipt ?
- (ii) What are the advantages of ADR ? (5+1)+4
- (f) (i) A conglomerate merger is neither a vertical merger nor a horizontal merger. Discuss.
- (ii) What is diverstiture ? Write down the motivations behind such a strategy. 4+(3+3)

**[ Internal Assessment : 20 ]**

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